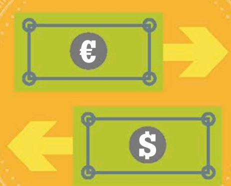
GEORG SIMMEL AND *THE PHILOSOPHY OF MONEY*

Published in 1900, German sociologist Georg Simmel's book *The Philosophy of Money* looked at the meaning of value in relation to money. Simmel observed that in premodern societies, people made objects, but the value they attached to each of them was difficult to fix as it was assessed by incompatible systems (based on honor, time, and labor). Money made it easier to assign consistent values to objects, which Simmel believed made interactions between people more rational, as it freed them from personal ties, and provided greater freedom of choice.

Store of value

Money acts as a means by which people can store their wealth for future use. It must not, therefore, be perishable, and it helps if it is of a practical size that can be stored and transported easily.



Means of exchange

It must be possible to exchange money freely and widely for goods, and its value should be as stable as possible. It helps if that value is easily divisible and if there are sufficient denominations so change can be given.

Unit of account

Money can be used to record wealth possessed, traded, or spent—personally and nationally. It helps if only one recognized authority issues money—if anybody could issue it, then trust in its value would disappear.

200BCE

Han dynasty coin
Often made of bronze or copper, early Chinese coins had holes punched in their center.

27BCE

Roman coin
Bearing the head of the emperor, these coins circulated throughout the Roman Empire.

700CE

Byzantine coin
Early Byzantine coins were pure gold; later ones also contained metals such as copper.

900CE

Anglo-Saxon coin
This 10th century silver penny has an inscription stating that Offa is King ("rex") of Mercia.

900CE

Arabic dirham
Many silver coins from the Islamic empire were carried to Scandinavia by Vikings.